APPENDIX 1

Detailed Coffee Can Portfolios

In Chapter 2 we explained how Coffee Can Portfolios can be created using two simple filters: 10 per cent revenue growth for ten consecutive years alongside 15 per cent ROCE. We then highlighted the merits of investing in the Coffee Can Portfolio and leaving it untouched for ten years. Now, let's focus on an example of a real Coffee Can Portfolio.

Our first screen is for the ten-year period from FY1991 to FY2000. We take the universe of listed stocks with market capitalization of more than Rs 100 crore and look for companies that meet these parameters:

a) Revenue growth of 10 per cent and ROCE of 15 per cent every year for non-financial services companies, or

b) For financial services companies, ROE of 15 per cent and loan book growth of 15 per cent every year.

In the ten-year period between FY1991 and FY2000, we find that there are five companies that meet these requirements. These are NIIT, Cipla, Hero MotoCorp, Swaraj Engines and HDFC. This set of five companies is our 'Coffee Can Portfolio 2000' (CCP 2000), which is an equal weighted portfolio of these stocks invested on 1 July 2000. We then track the stock price performance of CCP 2000 for the next ten years (that is, from 1 July 2000 to 30 June 2010). Similarly, running the screen from FY1992 to FY2001 gives us the 'Coffee Can Portfolio 2001' (CCP 2001). We then track the stock price performance of this portfolio for the ten-year period from 1 July 2001 to 30 June 2011.

In this appendix, we have listed the details of all of the Coffee Can Portfolios from 2000 to 2017 and also provided a detailed stock-by-stock